

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 24-07

Impact Products, LLC *et al.*, Complainants v. CMA CGM S.A., Respondent

ANSWER TO VERIFIED COMPLAINT

Respondent, CMA CGM S.A. (“CMA”), by its undersigned attorneys, answers the Verified Complaint of Impact Products, LLC and Safety Zone, LLC (collectively, “Supply Source”) as follows:

1. Paragraph 1 of the Verified Complaint states only conclusions of law to which no response is required. To the extent a response is required, CMA is without sufficient information to either admit or deny the allegations, and therefore denies the same.

2. To the extent the allegations of Paragraph 2 of the Verified Complaint relate to other vessel owning common carriers not named in this matter, CMA is without sufficient information to either admit or deny the allegations and, therefore, denies the same. To the extent that Paragraph 2 of the Verified Complaint alleges any specific conduct by CMA, those allegations are denied.

3. CMA denies the allegations of Paragraph 3 of the Verified Complaint.

4. CMA denies the allegations of Paragraph 4 of the Verified Complaint.

5. CMA is without sufficient information to admit or deny the allegations of Paragraph 5 of the Verified Complaint and, therefore, denies the same.

6. CMA admits only that it is a *société anonyme* existing under the laws of the Republic of France with a principal place of business at Boulevard Jacques Saade, 4 Quai d’Arenc,

13002 Marseille, France. CMA further admits that CMA CGM (America), LLC acts as CMA's agent for certain purposes within the United States, and that CMA CGM (America), LLC is a New Jersey limited liability company with a principal office at 1 CMA CGM Way, Norfolk, Virginia 23502. CMA further admits that it offers container transportation services to customers both within and without the United States.

7. CMA denies the allegations of Paragraph 7 of the Verified Complaint.

8. Paragraph 8 of the Verified Complaint contains only conclusions of law to which no response is required. To the extent a response is required, CMA is without sufficient information to admit or deny the allegations and, therefore, denies the same.

9. Paragraph 9 of the Verified Complaint contains only conclusions of law to which no response is required. To the extent a response is required, CMA is without sufficient information to admit or deny the allegations and, therefore, denies the same. CMA specifically denies that, at the relevant time identified in the Verified Complaint, it had a service contract with Supply Source.

10. Paragraph 10 of the Verified Complaint contains only conclusions of law to which no response is required. To the extent a response is required, CMA is without sufficient information to admit or deny the allegations and, therefore, denies the same.

11. Paragraph 11 of the Verified Complaint contains only conclusions of law to which no response is required. To the extent a response is required, CMA is without sufficient information to admit or deny the allegations and, therefore, denies the same.

12. CMA is without sufficient information to admit or deny the allegations of Paragraph 12 of the Verified Complaint and, therefore, denies the same.

13. CMA is without sufficient information to admit or deny the allegations of Paragraph 13 of the Verified Complaint and, therefore, denies the same.

14. Paragraph 14 of the Verified Complaint contains only conclusions of law to which no response is required. To the extent a response is required, Commissioner Dye's comments are a matter of public record and speak for themselves.

15. Paragraph 15 of the Verified Complaint contains only conclusions of law to which no response is required. To the extent a response is required, the Commission's Interpretive Rule is a matter of public record and speak for itself.

16. CMA denies the allegations of Paragraph 16 of the Verified Complaint.

17. To the extent Paragraph 17 of the Verified Complaint makes allegations concerning the practices of other carriers not named in this matter, CMA is without sufficient information to admit or deny the allegations and, therefore, denies the same. To the extent the allegations in Paragraph 17 of the Verified Complaint are directed at CMA, CMA admits that in accordance with the terms of its tariff, bill of lading, service contracts, and various other contractual agreements with shipping parties, CMA charges fees for containers that remain at the terminal beyond the permitted free time allowance and for containers that remain with the consignee beyond the allotted time.

18. CMA denies the allegations of Paragraph 18 of the Verified Complaint.

19. CMA admits only that its volume of containers shipped to the United States increased in 2021 and 2022 as compared to 2020. CMA specifically denies that it has any affirmative obligation to divert cargo or otherwise deviate from the terms of its bills of lading. CMA denies the remaining allegations of Paragraph 19 of the Verified Complaint.

20. CMA denies the allegations of Paragraph 20 of the Verified Complaint.

21. CMA denies the allegations of Paragraph 21 of the Verified Complaint.
22. CMA denies the allegations of Paragraph 22 of the Verified Complaint.
23. CMA denies the allegations of Paragraph 23 of the Verified Complaint.
24. CMA denies the allegations of Paragraph 24 of the Verified Complaint.
25. CMA denies the allegations of Paragraph 25 of the Verified Complaint.
26. CMA denies the allegations of Paragraph 25 of the Verified Complaint.
27. Paragraph 27 of the Verified Complaint does not set forth any factual allegations to which a response is required.
28. CMA denies the allegations of Paragraph 28 of the Verified Complaint.
48. Paragraph 48 of the Verified Complaint does not set forth any factual allegations to which a response is required.¹
49. CMA denies the allegations of Paragraph 49 of the Verified Complaint.
50. CMA denies the allegations of Paragraph 50 of the Verified Complaint.
51. CMA denies the allegations of Paragraph 51 of the Verified Complaint.
52. CMA denies that Supply Source is entitled to any of the relief set forth in Paragraph 52 of the Verified Complaint.
53. CMA denies that Supply Source is entitled to any of the relief set forth in the numbered and unnumbered paragraphs following the heading “IX. Prayer for Relief”.
54. Any factual allegations in the Verified Complaint not specifically admitted herein are denied.

¹ CMA notes that due to an apparent numbering error, the Verified Complaint’s paragraphs jump from Paragraph 28 to Paragraph 48. For ease of reference, CMA will adopt the numbering scheme of the Verified Complaint in its Answer.

AFFIRMATIVE DEFENSES

1. Supply Source's Verified Complaint fails to state a claim for which relief can be granted.
2. Supply Source has failed to plead essential elements of a claim under 46 U.S.C. §41102(c) or 46 U.S.C. §41104(a)(10).
3. CMA committed no violation of the Shipping Act and is not liable to Supply Source on the causes of action alleged in the Verified Complaint.
4. At all relevant times, CMA acted in accordance with the terms of its bills of lading, contracts of carriage, and applicable tariffs.
5. Any damage sustained by Supply Source were caused solely by the actions or fault of third parties for whom CMA is not responsible, specifically the freight forwarder and/or NVOCC Supply Source used to arrange each of the shipments complained of in the Verified Complaint.
6. Any damages sustained by Supply Source were solely because of its own actions or inactions.
7. Upon information and belief, under the FMC's first purchaser rule, Supply Source is not entitled to pursue reparations against CMA as it did not pay the challenged charges to CMA.
8. Some or all of Supply Source's claims are barred by the applicable statute of limitations.
9. Supply Source has failed to take reasonable steps to mitigate its damages.
10. Any damages allegedly sustained by Supply Source may have been caused by force majeure.

11. CMA specifically reserves the right to assert any other affirmative defenses of which it becomes aware as discovery in this matter proceeds.

WHEREFORE, Respondent, CMA CGM S.A., respectfully requests that the Presiding Officer and the Commission dismiss the Verified Complaint with prejudice, award Respondent reasonable attorneys' fees and costs, and grant any further relief deemed just and proper.

REQUEST FOR ORAL HEARING

Pursuant to 46 CFR 502.62(b)(3), CMA requests an oral hearing to take place in Washington, D.C.

Dated: March 7, 2024

Respectfully submitted,

/s/ B. Jason Barlow
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CERTIFICATE OF SERVICE

I certify that on the 7th day of March 2024 a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with: the Initial Order dated February 29, 2024 in the above-referenced proceeding; 46 CFR Part 502; and the Commission's Order of May 12, 2020 as follows:

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Respectfully submitted,

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